



complaint

Mr and Mrs W complain that UK Insurance Limited (UKI) treated the same incident of an escape of water as two separate claims, causing them to have their insurance cover voided by another insurer and then to incur higher premiums.

background

In 2007 Mr and Mrs W noticed an escape of water in their kitchen and they reported this to UKI. They claimed for the damage to their flooring and drying was carried out, but was not successful. The following month Mr and Mrs W noticed that the kitchen wall was saturated and tiles were coming loose.

Mr and Mrs W had thought that the water had escaped from their washing machine, but later a plumber told them it was coming from a water pipe embedded into their kitchen wall. They contacted UKI again and repair works and drying were carried out successfully.

UKI said that it treated the escape of water as two claims as it received two reports from Mr and Mrs W and it seemed likely that the damage resulted from separate incidents. It said Mr and Mrs W were told that two claims had been recorded at the time and they did not make a complaint about this.

The adjudicator recommended that the complaint be upheld, saying that Mr and Mrs W had mis-diagnosed the source of the leak and later discovered it was from the wall immediately above their washing machine. She said the first report of a leak was not checked by the insurer and its report stated it could be dealt with as a single claim, with one excess.

The adjudicator recommended that the insurance records be amended to show a single claim and that UKI advise Mr and Mrs W's current insurer so that the earlier voidance of the policy can be removed.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I have looked at the plan and photograph of Mr and Mrs W's kitchen and I can see how it was possible for them not to have realised that the leak was coming from the pipe in the wall and assume it was from their washing machine.

It would appear that the failure of the initial drying out process alerted Mr and Mrs W to the correct source of the leak and I am satisfied that their two reports to UKI related to the same escape of water and they were mistaken in their initial assessment of the cause.

The records of Mr and Mrs W's claim from 2007 includes the insurer's report which states that it considered there had been two leaks, but as the damage was the same the '*claim can be dealt with as one with one excess*'.

I am satisfied from what I have seen that it would be fair and reasonable for UKI to record Mr and Mrs W's escape of water in 2007 as a single claim and I agree with the adjudicator that all internal and external records should be amended to reflect this.

Mr and Mrs W had difficulties when moving to their current insurer and if they can evidence that they incurred any additional costs as a consequence of having to declare two claims rather than one, then UKI should refund this money.

my final decision

It is my final decision that the complaint is upheld and I require UK Insurance Limited to amend the records relating to Mr and Mrs W to show a single claim for an escape of water in 2007. And UKI should contact Mr and Mrs W's current insurer to request that its records are amended appropriately and the record of the voidance of their policy is removed.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr and Mrs W to accept or reject my decision before 27 February 2015.

Andrew Fraser
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